# Chapter summary

Familiarising yourself with **items in green** is important for effective revision.
Paying attention to items in the boxes is helpful for understanding the concept(s).

## 9.1 Change in Demand

### Change in quantity demanded versus change in demand

- A **change in quantity demanded** refers to a change in the quantity of a good demanded caused by a change in its price, *ceteris paribus*.
- A **change in demand** refers to a change in the quantity demanded of a good at every given price due to changes in any factor other than its price.
- The differences between the effects of a change in quantity demanded and those of a change in demand are:

A change in price/relative price does not lead to a change in the demand for a good.

| | A change in quantity demanded | A change in demand |
|---|---|---|
| Demand schedule | remains unchanged | the whole schedule changes |
| Demand curve | movement along the same demand curve | shift of the entire demand curve |

### Factors affecting demand

- Income (consumers' purchasing power)
  - **Normal goods** are those goods for which **the demand will increase (decrease) when people's income increases (decreases)**.
  - **Inferior goods** are those goods for which **the demand will decrease (increase) when people's income increases (decreases)**.
- Consumers' preferences for the goods
  - When people prefer more of the goods, the demand for the goods will increase.
- Price and availability of related goods

Inferior goods are not necessarily goods of low quality which are usually consumed by the low-income group.

| | | |
|---|---|---|
| **Substitutes** | Two goods are substitutes when they **satisfy similar wants or needs.** | An increase (a decrease) in the price of one good leads to an increase (a decrease) in the demand for the other. The two goods are **in competitive demand**. |
| **Complements** | Two goods are complements when they **are usually used together to satisfy a certain want or need**. | An increase (a decrease) in the price of one good leads to a decrease (an increase) in the demand for the other. The two goods are **in joint demand**. |
| **Derived demand** | The **demand for factors of production of a good is a derived demand for its output**. | An increase (a decrease)in the demand for a good will lead to an increase (a decrease)in the demand for its factors of production. |

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- Expectations of future prices
  - If the price of a good is expected to decrease (increase) significantly in the near future, the present demand for the good will decrease (increase).
- Number of consumers in the market
  - When there are more (fewer) consumers in the market, it is more likely that the market demand will increase (decrease).
- Other factors affecting demand: weather, government policies, natural disasters, etc.

### Effects of a change in demand

| | Equilibrium price | Equilibrium quantity |
|---|---|---|
| An increase in demand | increases | increases |
| A decrease in demand | decreases | decreases |

## 9.2 Change in Supply

### Change in quantity supplied versus change in supply

- A **change in quantity supplied** refers to a change in the quantity of a good supplied caused by a change in its price, *ceteris paribus*.
- A **change in supply** refers to a change in the quantity supplied of a good at every given price due to changes in any factor other than its price.
- The differences between the effects of a change in quantity supplied and those of a change in supply are as follows:

| | A change in quantity supplied | A change in supply |
|---|---|---|
| Supply schedule | remains unchanged | the whole schedule changes |
| Supply curve | movement along the same supply curve | shift of the entire supply curve |

### Factors affecting supply

- Cost of production
  - When the cost of production of a good increases (decreases), the supply of the good will decrease (increase).
- State of technology
  - Technological improvement lowers the cost of production and increases supply.

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- Price and availability of related goods

| | | |
|---|---|---|
| **Competitive supply** | When two goods **require similar input to produce**, they are usually in competitive supply. | An increase (a decrease) in the price of one good leads to a decrease (an increase) in the supply of another good when two goods are in competitive supply. |
| **Joint supply** | When one good **is a by-product of another good**, these two goods are usually in joint supply. | An increase (a decrease) in the price of one good leads to an increase (a decrease) in the supply of another good when two goods are in joint supply. |

Goods in competitive demand are not always in competitive supply as well.

- Government policy
  - Government policies such as the implementation of sales tax may increase (decrease) the cost of production, leading to a decrease (increase) in supply.
- Expectations of future prices
  - If the price of a good is expected to increase (decrease) in the future, the present supply of the good will decrease (increase).
- Number of producers in the market
  - When there are more (fewer) producers in the market, the market supply is more likely to increase (decrease).
- Other factors affecting supply: weather, natural disasters, political disturbances, etc.

The increasing popularity of a good among consumers will only cause the demand for the good to increase. The supply of the good will not be affected.

### Effects of a change in supply

| | Equilibrium price | Equilibrium quantity |
|---|---|---|
| An increase in supply | decreases | increases |
| A decrease in supply | increases | decreases |

## 9.3 Changes in both Demand and Supply

- The possible cases for an increase in both demand and supply:

| | Equilibrium price | Equilibrium quantity |
|---|---|---|
| D ↑ > S ↑ | ↑ | ↑ |
| D ↑ < S ↑ | ↓ | ↑ |
| D ↑ = S ↑ | remains unchanged | ↑ |

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- The possible cases for a decrease in both demand and supply:

| | Equilibrium price | Equilibrium quantity |
|---|---|---|
| D ↓ > S ↓ | ↓ | ↓ |
| D ↓ < S ↓ | ↑ | ↓ |
| D ↓ = S ↓ | remains unchanged | ↓ |

- The possible cases for an increase in demand with a decrease in supply:

| | Equilibrium price | Equilibrium quantity |
|---|---|---|
| D ↑ & S ↓ | ↑ | may increase, decrease or remain unchanged |

- The possible cases for a decrease in demand with an increase in supply:

| | Equilibrium price | Equilibrium quantity |
|---|---|---|
| D ↓ & S ↑ | ↓ | may increase, decrease or remain unchanged |

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